BALANCED SCORECARD



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SUPER GUIDE:
BALANCED SCORECARD

BY DANIEL PEREIRA



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INTRODUCTION

Most companies like to focus on their short-term goals and judge their health by how much money they make, which is okay since money is essential, but it only tells part of the story and wouldn't help the company in the long run.

Let's imagine you were given the job of a pilot. Of course, there would be indicators in the pilot's seat of an airplane for you to work with, but you would also need detailed information about many parts of a flight to navigate and fly an aircraft, which is a complex and complicated job. You would also need information about fuel, airspeed, altitude, heading, destination, and other signs that sum up the current and predicted environment. If you only use one instrument, you could die. In the same way, the complexity of running a business today means that managers need to be able to look at performance in more than one area at the same time.

Every organization has objectives that must be met for its long-term goals to be achieved. This is why Kaplan and Norton came up with the balanced scorecard, which is based on the idea that you can get a more "balanced" view of performance by looking at both traditional financial measures and strategic measures.

A balanced scorecard is a way to look at your business that focuses on its overall strategic goals and lets you see these goals from different points of view at the same time. It also helps you choose the right metrics to measure in order to reach your goals. With the help of the balanced scorecard, the company is better able to put its plans into action.

In this super guide, we will go deep into the crevices of

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balanced scorecards and share everything you need to know to understand them perfectly.

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WHAT IS BALANCED SCORECARD?

A balanced scorecard is a performance metric that helps a business find, improve, and keep track of its different functions and the results they produce.

It is a strategic management performance metric that is used to find and improve different internal business functions and the results they have on the outside. It performs extremely well in terms of measuring and providing feedback to organizations.

Companies in the United Kingdom, the United States, Japan, and Europe often use balanced scorecards. Managers and executives need to collect data and figure out what it means to give quantitative results. This information can help those who work for a company make better decisions about its future. The scorecard lets companies track and measure how well their strategies have worked, so they can see how well they have done.

In conclusion, it is a structured report that shows how well company management is doing. The use of key performance indicators, or KPIs, allows for the evaluation of the management team as well as the demonstration of how each member contributes to the execution of the strategy and the accomplishment of the objectives. Success is measured against the goals or targets that are set. This shows how fast the business is growing and how it matches up against its competitors.

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Other people in the organizational hierarchy can use the balanced scorecard to show how they contributed to the growth of the business or why they should be promoted or get a raise. A balanced scorecard focuses on an important strategic topic for the organization and uses financial and non-financial data to make plans.

THE BALANCED SCORECARD LINKS PERFORMANCE MEASURES

- How do people view us? (Customer's Point of View)
- What must we be experts at? (Internal perspective)
- Can we maintain our progress and add value? (A perspective on learning and innovation)
- What do shareholders think of us? (A financial viewpoint)

By using fewer metrics and asking these questions, the balanced scorecard reduces the amount of data that top managers have to process while at the same time giving them information from four different points of view. Too few measures almost never have a negative impact on a company. When a worker or consultant comes up with a great idea, it is common practice for them to immediately begin adding additional precautions. At one company, the management joked that the organization's "kill another tree" program was responsible for the proliferation of new policies. Because of the balanced scorecard, managers have to focus their attention on the few metrics that are the most important. A variety of companies have recently begun implementing the balanced scorecard into their operations.

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The first time they used the scorecard, the results showed that it could be used to meet a wide range of management requirements. First, the scorecard brings together in a single management report a number of seemingly unrelated aspects of a company's competitive agenda. These include improving the quality of products, putting an emphasis on working as a team, speeding up the release of new products, and managing for the long term.

Second, the scorecard discourages people from not performing to the best of their abilities. With the help of the balanced scorecard, top managers are forced to look at all the important operational metrics at the same time. This gives them the ability to determine whether an improvement in one domain may have come at the expense of another or not. Even if the objective is commendable, it is still possible to execute it poorly. For example, businesses can cut down on the amount of time it takes to introduce a new product to the market in one of two very distinct ways: either by enhancing the way they manage the introduction of new products to the market or by releasing only products that are only marginally distinct from those already on the market.

Spending on setups can be cut by shortening the time it takes to set up or making more batches. In the same way, production output and first-pass yields can go up, but this may be because the product mix is changing to include more standard, easy-to-produce, but lower-margin products.

THE BALANCED SCORECARD IS A MANAGEMENT FRAMEWORK

Creating a balanced scorecard is not a simple task that can

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be given to a person or group and finished in a few weeks or months. The management of your organization has undergone a total overhaul recently. If you want to get the most out of your BSC, you need to admit this right away and make the decision to change how you manage things.

THE BALANCED SCORECARD IS FLEXIBLE

One of the reasons the BSC is still relevant in strategic management is that it is a concept that anyone can apply. As a result, it has been adapted in numerous ways over the years, which is one of the reasons it is still relevant. And because of this, it is easy to look at examples or case studies of balanced scorecards and become concerned if your organization is different from those other organizations. Take extra precautions to ensure you are not in this difficult situation. The scorecard that your company uses should be unique in the industry. Similarly, to get something out of "The Strategy-Focused Organization" or any other Norton-Kaplan scorecard work, you do not have to do everything that is asked of you.

THE BALANCED SCORECARD IS ADAPTABLE

The balanced scorecard was first made for use in the private sector. However, it quickly became popular in the public sector and among nonprofit and municipal organizations. It is now used by a wide range of businesses and organizations worldwide.

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A BRIEF HISTORY OF THE BALANCED SCORECARD

Norton has worked as a consultant his whole life, and Kaplan is a teacher at Harvard Business School right now. The two of them first worked together on a project funded by KPMG. The project aimed to find out why companies had trouble reporting based only on financial measurements. In the 1990s, most businesses reported the state of their operations using "lagging indicators."

The primary purpose of the research was to find a more effective way to achieve this objective by utilizing "leading indicators." They reported their findings in an article that was published in the Harvard Business Review in 1992. The concept of a "balanced scorecard" was first presented in this article. (It is essential to point out that the Balanced Scorecard is the topic that is currently taking up the most space in the "Management" section of HBR.)

In their book, "The Balanced Scorecard: Translating Strategy into Action," Norton and Kaplan provide numerous examples of businesses that use the Balanced Scorecard (BSC) to create a scorecard that corresponds with their own strategies. However, they continued their investigation beyond that point.

"The Strategy-Focused Organization," the most important book on the subject, came out in 2000, four years after they finished their first work. This article examines the five most important parts of using a balanced scorecard to implement a

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strategy. This is the book you want to start with if you're just getting started with your scorecard! Norton and Kaplan wrote a number of papers and books over the next ten years, including "The Execution Premium" (2008), "Strategy Maps" (2004), and "Alignment" (2006). Each gave a more in-depth look at a different part of the "strategic-focused organization" by using existing case studies and recently published research.

Norton and Kaplan, along with other researchers, have been gathering information from consultants worldwide who have used the framework in different firms (or organizations that have used a BSC without the help of a consultant) since the beginning. It is easy to trace how this framework for strategic management has been successful for firms worldwide, thanks to the many books and articles that they have written that focus on the achievements of specific organizations.

Both Kaplan and Norton stressed that the balanced scorecard shouldn't be used as a model for businesses in general, or even for businesses in an entire industry. The company needs to make scorecards that fit its market conditions, product strategies, and the pressures from competitors. In the same way, the balanced scorecard methodology shouldn't just be a way to measure performance.

Kaplan and Norton say a strategic management system will "clarify, simplify, and make real the vision at the top of the firm." It is up to a company's personnel to put its mission statement and vision into action in a way that generates value for the organization.

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THE BALANCED SCORECARDS OF THE 1990S

A study by David P. Norton and Robert S. Kaplan that came out in the Harvard Business Review in 1992 was the first time the idea of a balanced scorecard was put forward. The report suggested that companies should pay attention to financial and human issues and judge their performance in a wider range of ways than before. Both of these ideas were novel at the time.

Other organizational theorists had picked up Kaplan and Norton's work by the middle of the 1990s and updated the design technique of balanced scorecards, ironing out early problems in the process. The Balanced Scorecard: Translating Strategy into Action was the name of the full version of Kaplan and Norton's ideas that came out in 1996. The book went on to become a commercial bestseller.

BALANCED SCORECARDS IN A NEW MILLENNIUM

In a piece of writing they did together in 2002, Cobbold and Lawrie came up with three generations of balanced scorecards. In their paper, they talked about how the balanced scorecard, also called a BSC, can help with three different kinds of management. Because of this, one useful tool for strategic management is the creation of strategy maps. Balanced scorecards led to the development of ideas like the "performance prism," "results-based management," and the "third-generation balanced scorecard."

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THE FUTURE OF THE BALANCED SCORECARD

Some of the most successful companies in the world use balanced scorecards, as well as management tools and strategies based on them. Balanced scorecards have led to the creation of specialized software that helps companies get the most out of them. They are profitable for various organizations, including charities, government bodies, sports teams, and corporations.

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CHARACTERISTICS OF THE BALANCED SCORECARD MODEL (BSC)

The information is gathered and evaluated from the following four areas of a company:

LEARNING AND GROWTH

Analyzing these is accomplished by digging into available educational and informational materials. This first part addresses how well data is collected and how well workers turn that data into an advantage in the marketplace.

BUSINESS PROCESSES

People look at how well products are made when evaluating how well business processes are run. When it comes to operational management, we look for any loopholes, delays, bottlenecks, shortages, and waste we can find.

CUSTOMER PERSPECTIVES

Look at things from the consumer's point of view to find out if they are happy with the quality, price, and availability of the goods or services. Customers give feedback about how happy they are with the products on the market.

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FINANCIAL DATA

Revenue, expenses, and profits are the three leading indicators of economic health. Money amounts, financial ratios, budget deviations, and income goals are examples of financial metrics that can be used. The vision and strategy of a business are based on these four pillars, which require data analysis and proactive management.

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HOW DOES IT WORK?

In strategic management, a balanced scorecard is a tool that is used to measure performance in several ways. Businesses can make better decisions when they look at past performance data and suggest ways to improve in the future.

THE FOUR PERSPECTIVES OF THE BALANCED SCORECARD

The performance of an organization is evaluated using a balanced scorecard, which considers how well it does in four key areas: training and development, operational procedures, customer feedback, and financial metrics. An organization's overall vision and strategy are supported by these four pillars, also known as "legs." Based on this, they demand the participation of the CEO or the top leader of another company in the industry.

Financial perspective

It is only right and proper that the shareholders, who provided the funds necessary for the company to continue operations, should benefit monetarily from the company's successes. They need to be aware that the organization is making consistent progress toward its goals, such as increasing the amount of money it makes and discovering new ways to increase it, as well as bringing in money on a regular basis. These objectives can be accomplished by increasing the number of products offered, enhancing the value proposition,

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and lowering the costs of operation.

When it comes to matters of finance, the primary objective of a business is to protect its wealth and derive the greatest possible benefit from its investments. Stakeholders' needs, including those of shareholders, customers, and vendors, must be satisfied for this to be accomplished.

Customer perspective

From the customer's point of view, the main goal is to carry out actions that will make the customer happy. The customer's viewpoint keeps track of how the corporation gives value to its clients and assesses the degree of client satisfaction with the company's goods or services. The level of customer happiness reflects the performance of the business. A company's profitability can be impacted by how well it treats its consumers.

The company's reputation in comparison to its rivals is taken into account by the balanced scorecard. How do clients view your business in comparison to competitors? It enables the company to leave its comfort zone and look at itself from the consumer's perspective rather than only from within. A business can improve customer satisfaction in a number of ways, such as by making its products better, making the shopping experience better, and lowering the prices of its core goods and services.

Internal business processes perspective

The internal procedures of an organization are a direct cause of how well it works. A balanced scorecard helps put into context the metrics and goals that will improve a company's efficiency. Also, the scorecard can determine if the quality of the company's products or services meets customer expectations. Understanding what it is that we excel at is central to this viewpoint.

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If the business can answer this question well, it will be better able to come up with marketing plans and try new things that will help it continue to meet its customers' needs.

Innovation and Learning Perspective

Optimizing the capacity of an organization is one of the most important factors in reaching its goals and objectives. In order for an organization to achieve its goals, the staff of each department must be capable of effective leadership, fit in well with the culture, effectively apply knowledge, and have the appropriate skill sets.

Before the management can be happy with the results, the company needs to have the right infrastructure in place. For example, the organization could use cutting-edge technology to make things run more smoothly and boost productivity overall.

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ELEMENTS OF A BALANCED SCORECARD

How to create a balanced scorecard was explained by Kaplan and Norton. They outlined a procedure for creating balanced scorecards that can be used across departments and that describes what they call "a typical project profile."

Below, there are eight actionable steps you can take:

PREPARATION

The company decides which departments would benefit most from a strategic scorecard. In the broadest sense, business units are separate groups of companies that work on their own and have their own clients, suppliers, factories, budgets, and so on.

THE FIRST ROUND OF INTERVIEWS

A balanced scorecard facilitator usually works with each senior manager for 90 minutes to develop strategic goals and performance indicators.

FIRST EXECUTIVE WORKSHOP

To start making the scorecard, top management meets with the facilitator to develop a shared vision and strategy and figure out how to measure how well the goals are being met.

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Shareholder and client video interviews are an example of this.

THE SECOND ROUND OF INTERVIEWS

To make the first draft of a balanced scorecard, the facilitator looks at all the information from the executive workshop, puts it all together, and writes it down. He or she also talks to all the senior executives.

SECOND EXECUTIVE WORKSHOP

All levels of management talk about the vision, strategy, and preliminary scorecard. This includes both upper and middle management. They break into small groups to deliberate over the proposed measures, sketch out a strategy for putting them into action, and finally come up with "stretch objectives for each of the proposed measures."

THIRD EXECUTIVE WORKSHOP

Executives come to a common understanding of the vision, goals, and metrics set up in the first two workshops and set new, challenging goals for each metric. After this is done, the team can settle on an actionable strategy known as the implementation plan.

IMPLEMENTATION

A newly formed team has started a project that aims to connect performance metrics with databases and IT systems, spread the word about the balanced scorecard, and

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encourage the creation of second-level metrics for teams that work in different places.

PERIODIC REVIEWS

Every three or four months, managers look over a "blue book" that lists the balanced scorecard metrics. In the course of strategic planning, the balanced scorecard metrics are reviewed every year.

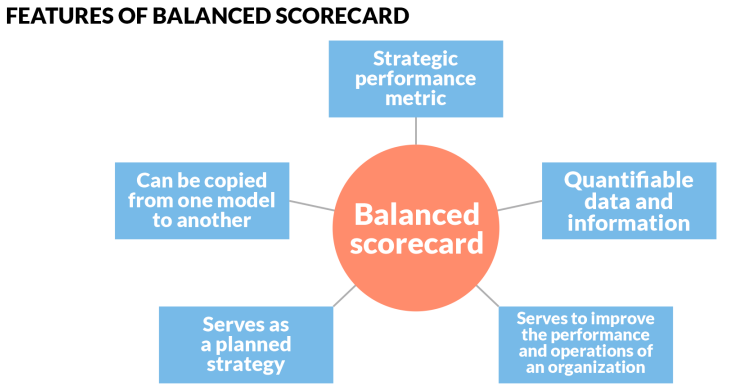
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KEY FEATURES OF A BALANCED SCORECARD

As we previously mentioned, a balanced scorecard, also known as a BSC, is a performance metric that is deeply integrated and assists organizations in recognizing their own internal issues and overcoming those issues through more efficient planning, strategy, and execution.

The development of a balanced scorecard turned out to be one of the most effective management tools ever developed. When used correctly by management teams, it can be one of the most fruitful tools.

For a balanced scorecard to be successful, here are a few features you should note:



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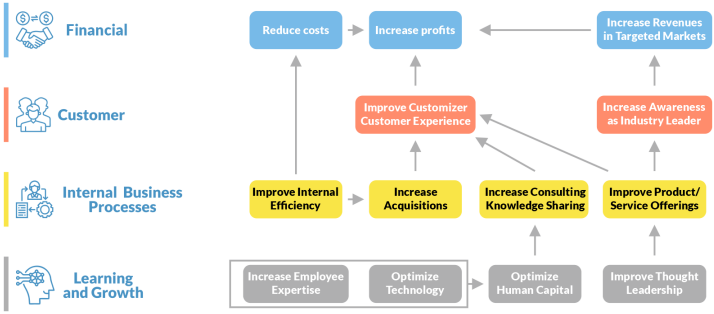
STRATEGY MAP

The first and most crucial feature of a successful balanced scorecard is a “strategic map.”

A strategy map provides your organization with clarity and direction. It illustrates your organization's strategic objectives from four perspectives: financial, customer, internal processes, and learning and growth.

- **Financial:** What financial gains do you want to achieve? Some examples are increasing profit margins, making sales goals, saving money, working more efficiently, etc. This is usually the most important thing for companies that want to make money;
- **Customer:** Customer-centric goals and KPIs are those that directly impact the business and its bottom line. How do our clients evaluate us? It's vital to stand back occasionally and see your business or organization through the eyes of your customers. Knowing what they need from you is more important than knowing what you can do for them;
- **Internal processes:** This deals with the smooth running of your business. Efficiency is needed in this approach. It's all about wasting less, moving faster, and getting more done with less;
- **Learning and growth:** Learning and growth deal with the company’s culture as a whole. Technology plays a major role in learning and growth.

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ACTION PLANS

The next feature of the Balanced Scorecard is that it contains Action Plans. You have to put in place the projects, activities, and programs that have been identified for each of the strategic goals, and then you have to deliver them.

Your strategic map shouldn't lead you to a place where nothing makes sense, and action plans can help make sure that doesn't happen. They ensure that your business plans are in line with your strategic objectives and help you achieve success in the marketplace.

Some examples of strategic objectives include reducing injuries, improving call times, and increasing profits.

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SOME EXAMPLE STRATEGIC OBJECTIVES MIGHT BE:



Starts with a Verb

All of your strategic goals should start with a word that means "do." Improve, reduce, increase, optimize, maximize, and minimize. All of these are great words that have something to do with them.

Endless

We want to find strategic goals that will be important to you for a long time. There are no one-time events or deadlines involved. It's about getting better all the time. It's not "win the 2022 World Cup," it's "improve win percentage."

Actionable

It's pointless to worry about things you can't change. For instance, a decrease in the federal interest rate could be beneficial to your company, but you have no say over this. Do not include it in your balanced scorecard if it cannot be improved upon.

Measureable

It's impossible to put a number on certain things. These are not the types of things that should be considered strategic goals. Don't make "improve brand recognition" one of your goals if you can't pay for a survey to find out how well-known

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your brand is.

METRICS

Metrics deals with measuring and tracking your progress. With the help of the key performance indicators (KPIs) and metrics you set up for each goal, you can track how well your strategic goals, strategies, and action plans are working.

It's crucial to select a handful of key indicators to monitor. Focus on what really matters by keeping your strategic goals down to just one or two indicators of success. When too many metrics are monitored, progress is often stalled.

Measure the 'health' of the organization
In the same way that a doctor or nurse will examine a patient's pulse rate and temperature to determine how healthy they are, managers can examine KPIs to make similar determinations regarding the health of their organizations.

How a business decides where to start operations will depend on what strategy it is using at the time. There needs to be a clear connection between the things that an organization is working toward (its strategic goals) and the metrics that it uses to evaluate how well it is achieving those goals.

There will be a large number of operational measures, and it's possible that some of them will feed into key performance indicators. On the other hand, operational measures shouldn't be thought of as KPIs, but as "housekeeping" and "good practice."

The approach gives us a way to look at an organization from a "balanced" point of view and set strategic goals for each of the four perspectives as well as the overall goal.

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KPIs that go with them. We shouldn't come up with too many strategic goals.

Focus, focus, focus

It is better to focus on a few things where a structure can be put in place to change behaviors and results than to spread out the work so much that nothing gets done.

Consultants for business strategy Franklin Covey states that "If your strategy has three goals, you will achieve all of them. If it has four to ten goals, you will achieve one or two of them. If it has more than ten goals, you will achieve none of them. “The law of diminishing returns in action

Lastly, KPIs need to have both forward-looking and backward-looking measures. Most strategic plans focus on measures that are already behind schedule. Why? Because they are accurate and easy to measure.

I get on the scales when I want to lose weight. This tells me for sure if I've done well or not. It doesn't help me in any way to do well. If I keep track of how many times I go for a run and how much I eat (and plan for this), I have two key measures in place that will help me reach my goal.

Leading measures are harder to find, but they are the only ones that can be changed, so they are the only ones that matter. When making a Scorecard, setting strategic goals, and choosing Key Performance Indicators, we can't forget how important leading measures are.

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HOW TO IMPLEMENT THE BALANCED SCORECARD

BALANCED SCORECARD IMPLEMENTATION MISTAKES

This old way of doing things assumes that each point of view is separate from the others. Still, this way of putting the balanced scorecard into place is fundamentally wrong.

Years of trial and error have taught us that how we put them in order is important. The modern balanced scorecard shows how each point of view builds on the ones that came before it.

The goal is to try to find a balance between each point of view, which will lead to better organizational performance.

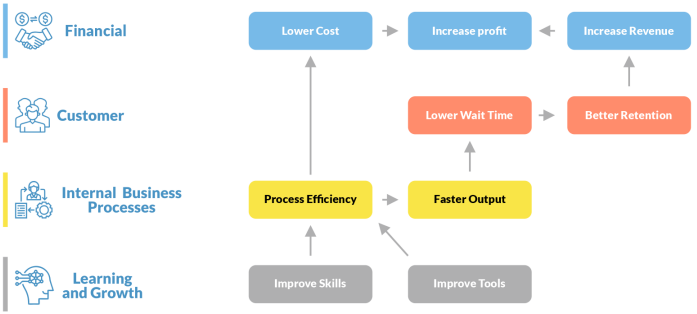
THE RIGHT WAY TO IMPLEMENT A BALANCED SCORECARD

Balanced Scorecard is not a collection of points of view with equal importance. It's not about working on four different points of view at the same time. You should instead start at the bottom of the diagram and work your way up.

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You move through each layer, starting with learning and growth and ending with financial gain. The ultimate goal is to master each point of view, because once you do that, you can do a good job with the next one.

As you go through the steps in the diagram, you'll see that the journey's goal is to make more money (financial gain).



There's another way to look at this, too. The Balanced Scorecard is made up of both leading and lagging perspectives, just like leading and lagging KPIs.

Your leading perspectives will be learning and growth, internal processes, and customers. This is because these perspectives help you deliver on your main lagging perspective, which is financial performance. It's called "lagging" because that's what happens when you use the other three perspectives.

One of the biggest complaints about the Balanced Scorecard is that its main goal is to make as much money as possible.

People have said that organizations like nonprofits, government agencies, and even Google and Facebook,

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whose goals go beyond making money, wouldn't be able to use a balanced scorecard.

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HOW TO USE A BALANCED SCORECARD?

Balanced scorecards let companies look at their financial data and intellectual capital to figure out what went well and what didn't in their internal processes.

By putting information about past performance into a single report, management can find inefficiencies, make improvement plans, and tell employees and other stakeholders about their goals and priorities.

Follow these nine steps to put the balanced scorecard into place in your company:

ASSESSMENT

Before making plans for the future, a group needs to agree on where it is now. Assessing means looking at the internal and external environments as they are right now. During this phase, an organization will often set up or revalidate high-level strategic elements like its mission, vision, values, market studies, enablers and challenges, and primary and secondary customer and stakeholder needs analysis.

STRATEGY

By following the steps outlined in the strategy, businesses can improve their chances of success in a competitive market. Companies break down their overarching strategic

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direction into three or four strategic themes, develop a customer value proposition, and map out their strategy, all utilizing a strategy profile in the strategy step (or goals).

The strategic themes of an organization are the areas in which it needs to perform at a very high level to fulfill its mission and reach its goals. These themes can look very different depending on the specific enablers, challenges, and client value propositions an organization faces.

STRATEGIC OBJECTIVES

At this stage, the groundwork for the plan will be laid. Strategic goals are essential for successful strategic planning and management. Quantitative, long-term results (objectives) are essential to the success of a plan. Organizational goals are made up of goals that were set at the strategic level and then tweaked at the operational level.

STRATEGY MAPPING

Using a "value chain" to illustrate how satisfied customers and other stakeholders are with the company's products or services is a key part of strategy mapping. Each area of focus has its own strategy map to document the comprehensive plan for reaching each key goal, which is then consolidated into an overarching strategy map for the whole organization. To get where it wants to go, a company creates a "strategic map," a graphic storyboard detailing its plans.

PERFORMANCE MEASURES

It is essential to use key performance indicators in order to evaluate how effectively a strategy is being implemented in practice. The utilization of resources and processes, as well

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as output, are the primary focuses of attention for operational indicators.

Some of these steps are designed to move you closer to the conclusion you want to reach, while others are designed to move you further away from that conclusion.

On the strategy map, there are metrics that have been developed for each goal. During this stage, both forward-looking and backward-looking indicators are made to help manage the actual implementation of the strategy.

STRATEGIC INITIATIVES

During the stage known as "Strategic Initiatives," you will be tasked with determining which initiatives are essential to the success of the strategy, ranking them in order of importance, and carrying them out. The use of initiatives can help bring about a narrowing of the achievement gaps.

Instead of making a long list of possibilities and projects, a company should focus on the most important strategic initiatives it is working on. If a company does not possess this kind of concentrated energy, it will have a difficult time putting its strategy into action.

PERFORMANCE ANALYSIS

Evidence-based reasoning is the process of using the information to learn and understand something. The use of data analysis and better judgment are both important parts of getting better strategic results. When a company reaches this stage, it is actively reviewing and evaluating its performance to figure out what parts of the business are making it successful and what parts are not, with the goal of becoming a high-performing organization.

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ALIGNMENT

During the step of alignment, strategy is transformed from something that only executives care about into something that everyone supports. This is done by letting the high-level corporate strategy trickle down through the company's first business and support units until it reaches each employee. Scorecards for the business and support units, as well as scores for employees and teams, are created during this stage of the process.

EVALUATION

During an evaluation, tasks such as assessing, reviewing, and keeping up-to-date are carried out. At this point, the company's highest-level executives and managers look at how much the strategic management system has improved the organization's ability to communicate, work together, and perform well overall. Strategic planning and management are both dynamic because they work to improve quality every day.

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BENEFITS OF A BALANCED SCORECARD

The primary value of Balanced Scorecards is in monitoring the achievement of strategic targets. To make sure that every part of an organization gets the care and attention it deserves, a scorecard lays out the criteria for evaluating and ranking metrics.

A balanced scorecard can also help in numerous ways, which include:

BETTER STRATEGIC PLANNING

The balanced scorecard is a very useful tool for both 1) planning strategic projects, and 2) presenting them to others. Using a strategy map to show how the various strategic goals of the business model are linked can assist managers in understanding how the various strategic goals are linked.

By making a strategy map, a group can be helped to come to a common understanding of their overall strategic goals. In order to obtain a comprehensive understanding of the strategy, it is necessary to determine not only the outcomes of the strategy's execution, but also the primary factors that will enable or drive its continued success in the future.

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IMPROVED STRATEGY COMMUNICATION & EXECUTION

Companies can better convey their strategy both internally and internationally using a one-page summary.

For a long time, the adage "a picture is worth a thousand words" has been common knowledge. This one-page plan is a good way to explain the strategy and get internal and external stakeholders on board as it is put into action and evaluated.

Keep in mind that it's hard to get people to help carry out a plan that they don't fully understand.

BETTER ALIGNMENT OF PROJECTS AND INITIATIVES

Organizations can utilize the balanced scorecard to better align their projects and initiatives with their various strategic goals. This helps to guarantee that the most important goals are met.

BETTER MANAGEMENT INFORMATION

Organizations can create KPIs that measure progress toward their various strategic goals using the balanced scorecard framework. That way, businesses can be confident they are focusing on the right metrics.

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There is evidence to suggest that businesses that adopt a BSC strategy have better access to high-quality management information and make more informed business decisions.

IMPROVED PERFORMANCE REPORTING

Performance reports and dashboards can be developed with the help of the balanced scorecard. This makes sure that management reporting focuses on the most important strategic challenges and helps businesses keep track of how well their strategy is being put into action.

BETTER ORGANIZATIONAL ALIGNMENT

With the use of the balanced scorecard, businesses can better harmonize their internal structures with their overarching goals. Organizations' ability to put their plans into action hinges on the degree to which their various business units and support functions are aligned. This can be accomplished by linking strategy to operations through the use of the balanced scorecard, which can be cascaded through the relevant departments.

BETTER PROCESS ALIGNMENT

Organizational operations such as budgeting, risk management, and analytics are more likely to be in sync with strategic goals if they use balanced scorecards. This will be useful in developing a company that is mostly focused on strategy.

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EXAMPLES OF A BALANCED SCORECARD (BSC)

Businesses can implement in-house BSC systems. The success of a bank's customer service may be measured, for instance, by means of periodic questionnaires sent out to its clientele.

Respondents are asked to rate various aspects of their most recent banking experiences, including wait times, contacts with staff, and overall satisfaction.

In some cases, they may even solicit feedback from patrons. When customers complain about a bank's products, services, or processes, managers can use the information they gather to retrain employees and make customers happier.

THE FOUR BALANCED SCORECARD OBJECTIVES FOR THE TELCO COMPANY

Here is a quick summary of all four goals and the measures, key performance indicators, and initiatives that go with them:

- **Financial:** Increase profit (objective), net profit (measure), 5% annual increase (KPI), and implement a new accounting system (initiative);

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- **Customer:** Improve end-user experience (objective); increase customer satisfaction index (CSI) (measure); increase by 2.5% per year (KPI); complete detailed user requirement research (initiative);

- **Internal processes:** Make it easier for end users to use (objective), score the user experience at least 90% of the time (KPI), create a training program for the user interface, and add new services (initiative);

- **Learning and growth:** Improve skills and knowledge (objective); create employee development plans (measure); have at least 95% of them by the end of the fiscal year (KPI); and train people on marketing and the product (initiative).

Take note of how interconnected these goals are. Ease of use is a prime example; making things simpler for users has a positive effect on the bottom line.

STRATEGIC PRIORITIES AND CORE VALUES

There may come a time in the development of a large telecommunications firm when it is best to divide up the overall vision into more manageable chunks, each of which can be worked on by a separate team.

Most of the time, these look like strategic priorities and results that could use their own balanced scorecards.

Here are some goals and outcomes of strategic planning:

Brand awareness
A revived brand that builds on its prior triumphs to win over

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the next generation of mobile phone consumers.

Customer service
Clarity of product with a streamlined user interface and market-leading customer service that challenges the belief that all telecommunications companies offer opaque pricing and poor customer service from offshore call centers.

Content partnerships
Exclusivity contracts guarantee a steady stream of information and content services in the system.

PROJECT MANAGEMENT BALANCED SCORECARD

Measuring project management is important because it improves efficiency, performance, and management styles and demonstrates the project's value to the stakeholders.

- The list of stakeholders includes:
- The project manager
- The team that works on the project
- The project sponsor
- The external and internal clients
- The external regulators and internal compliance team
- The quality assurance team

KPIs for Project Management
Now that we have the list of stakeholders and know what answer we are interested in, let's define some KPIs (Key Performance Indicators) for project management.

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We can group the KPIs around one of the projects' management models:

The classical triangle model: Scope, Cost, Time ➜ Quality

Or the evolutionized model according to the PMBOK standards:

- Scope, Cost, Time + Risk, Quality, Resources

SCOPE
In project management, the idea of "scope" is mostly about what the future product needs to do to meet the needs of the stakeholders.

One of the most important criteria in the requirements is:

- Unambiguity of the requirements, %

How to quantify an unambiguity?
We could have a few experts read the requirements and make a list of the statements that aren't clear. One way to measure this KPI that is less formal but still effective is to use a popular

- WTF/page metric

Strategy / Project Alignment
Another thing to look at in terms of the requirements is whether the organization's strategy and its projects are in line with each other or not.

If we are working on internal projects, a good strategy map is a great way to explain to the team the project's business context (its constraints and priorities).

Why is the business setting important? To answer this question, you need to think about:

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- Doing the right things; and
- Doing things right.

Project management is all about making sure things are done right. The best project managers can make sure the whole thing works well, but will that help the organization reach its goals?

The KPI, in this case, can be formulated as:

Strategy/project alignment, %

The best way to get this alignment is to start with strategy and build new initiatives and projects around its goals.

COST
Most of the time, it's easy to find the metrics for the cost. In this case, traditional KPIs are:

- Planned budget
- Actual budget
- Budget variance — the difference between planned and actual budgets

The financial derivatives of successful project management:

- Cost saving
- Cost avoidance
- ROI — Return of Investment
- Dollar equivalent of value created (earned value)

Earned Value
The Earned Value mentioned above can be calculated as

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follows:

Earned Value (EV) = Total_Budget * Progress, %
Another metric compares earned value with the actual budget used.

Cost Variance (CV) = Earned_Value – Budget_Actual

A negative value for CV could mean that the budget is already too high.

The BSC designer will figure out the earned value and cost variance if the project has a total budget and a progress indicator.

Time
Classical metrics for project management are:

- Cycle time
- Schedule variance, % (planned hours vs. actual hours)
- On-time completion, %
- Missed milestones, %

Even though it's easy to figure out these metrics with project management software, we need to be careful about how we use their results.

DO ROOT-CAUSE ANALYSIS
Did a deadline get missed because of bad management, because the requirements changed without warning, or because the project's scope had to be changed because of new information?

KNOW YOUR BENCHMARKS
What does it mean that 15% of the milestones weren't met by

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your team this month? Is this something they often do?

How does this rate stack up against the last month or another team? The data only makes sense in a certain situation, so make sure you know this situation before drawing conclusions.

What Behavior Do The KPIs Induce?
Think twice before tying project management key performance indicators (KPIs) to how much you get paid. On paper, having everything done on time 100% of the time sounds great, but there shouldn't be any trade-offs with the quality of the end product. Bad KPIs are ones that make your team think about how to cheat the system instead of how to improve the product.

RISK
Another important idea is that KPIs can be used to track risk management itself.

- Number of risks identified
- % of identified risks with mitigation plan
- Number of occurred risks without mitigation plan
- Recurring risks, %
- Risk management costs, $

Quality
How can we figure out how well a project is being managed? It depends on what we think is important about quality. As was talked about in the article about quality KPIs, different stakeholders see the quality in different ways.

Leadership Quality
We can start with:

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- Quality of management
- Quality of leadership
- Quality of communications, %

Quality of the Results
Then we can look at how well the results turned out.

- % of rework or
- Number of returns

A high percentage of the rework could mean that there is a problem with the project's requirements, that the initial estimates were wrong, or that there wasn't enough planning.

More general quality metrics include:

- Internal Customer satisfaction, %
- External customer satisfaction, %

The quality concept also takes into account the quality of the internal artifacts that the project creates. For example, if you need a graphic designer for your project, the final materials need to be delivered according to certain internal standards, using specific templates and best practices. In this case, the KPI is:

- Internal standards' compliance, %

Quality Derivatives
How about innovation?
Good project management can lead to ideas for the innovation pipeline, which is a good thing. The thing to keep an eye on is:

- Number of qualified innovation ideas generated

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Considering the long-term viability of a project is an important part of assessing its quality.

The three pillars of environmental, social, and economic sustainability. Several key performance indicators (KPIs) are detailed in the sustainability scorecard.

- % of recycled materials used
- Workplace safety, %

Resources
In the context of project management, a starting KPI for the resources are:

- Productive time or Time spent on billable activities, %
- Planned resources vs. used resources

What we really want to know is whether your team has more internal meetings than actual work or not.

Review the procurement scorecard for additional key performance indicators if your project requires intricate sourcing, logistics, and management of relationships with several providers.

Talent Management
Last but not least, your crew is your most valuable asset.

- Take the time to calculate employee turnover as a baseline HR metric;
- Use the Human Resources Scorecard as a springboard for deeper thought;
- Measure training and mentoring time in terms of basic hours;
- Create a detailed training scorecard based on

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Kirkpatrick's model if you're serious about improving your team's abilities.

IT BALANCED SCORECARD

Before we begin: The IT unit sometimes has its own life within the company; the front-end is evaluated using subjective metrics, while the back-end is measured by uptime; the rest of the indicators are too technical and/or do not assist a company in achieving its goal.

A good first step is to define SLAs between business units. Next, locate leading and lagging indicators corresponding to an organization's strategy. These KPI examples can assist. We'll discuss these four topics:

- Finance – managing IT expenses;
- Customers – increasing internal and external customer experience;
- Internal – preventing tech and security issues;
- Maintaining IT systems; learning from past failures.

Financial KPIs

- IT expense as a percentage of the total expense, %
- IT expense per employer, $/employee
- Support expense per user, $/user

Customer KPIs

Internal (business personnel) and external (end users of your product, visitors of the website, etc.)

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Learning & Growth KPIs

- The number of returning problems
- Restore success rate

STARTUPS BALANCED SCORECARD

A typical company entrepreneur is busy with the product, customer, and investor development. There are many long lists of indications, best practices, and metrics that VCs reportedly want to track.

Attraction KPIs metrics:

- Traffic metrics (organic, direct, paid, social traffic)

Engagement KPIs metrics:

- Conversion rate into free trial accounts or their proxy
- % of clients who unlocked key functions of the product
- Feedback obtained, meaningful conversations

Additional metrics:

- Website metrics (bounce rate, time on site)
- Social engagement metrics (likes and shares)
- Mail list metrics (CTR, open rate)
- Returning users rate
- NPS

Value KPI metrics:

- Paid subscriptions and revenue are the best indicators

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of value created

Retention KPIs metrics

- Churn rate. The percentage of customers who cancel their subscription in a period.

Economic sustainability KPI metrics:

- Burn rate (e.g., negative cash flow), cash flow
- CAC / LTV (Customer Acquisition Cost / Lifetime Value)
- Revenue, costs, profits

HR (HUMAN RESOURCES) BALANCED SCORECARD

The HR scorecard is a method for evaluating the effectiveness of the HR department as a strategic business partner.

The HR scorecard is designed to track key performance indicators related to human resources.

HR HIRE
An organization's talent journey begins with hiring. Popular metrics include:

- Yield ratio measures hiring efficiency, % = Number of leads from recruitment methodNumber of candidates invited to interview1
- Time to hire helps organize the right amount of interviews;

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- Cost-to-hire ensures efficient recruiting;
- The sum of recruiting costs (internal and external)/total number of new hires.

HR RETENTION

- Training metrics: measure learning and progress;
- Track intangibles like leadership;
- Learn how to assess and enhance employee engagement to boost organizational performance;
- Understand and calculate the top-performer turnover rate.

ENGAGEMENT KPIS

Engaged employees perform better. Engaged employees lead to organizational success.

EMPLOYEE MORALE

Morale (happiness) is a key indicator of employee engagement.

TURNOVER RATE

High turnover is viewed negatively. The turnover formula is:

$$\text{Turnover, \%} = \frac{Number\ of\ employees\ who\ left\ company\ during\ the\ period}{Average\ Number\ of\ Employees\ for\ the\ Period} \times 100$$

Where;

Average Number of Employees for the Period

$$\frac{Number\ of\ employees\ at\ the\ beginning\ of\ period + Number\ of\ employees\ at\ the\ end\ of\ the\ period}{2}$$

REVENUE PER EMPLOYEE

This KPI's revenue and employee data are online. You can

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compare your data to Inc.com's yearly ranking of fastest-growing private companies.

Revenue per employee is calculated as follows:

Revenue per employee = (Total revenue / The number of FTE employees) x 100

CALCULATING TALENT ROI

A general ROI (return on investment) formula is simple:

$$\text{ROI (\%)} = \frac{Net\ profit}{Investment} \times 100$$

HR faces two obstacles while applying it:

- Investment
- Profit

As for the investment, its calculation is easy; we must summarize personnel costs.

- Cost to hire
- Cost of training
- Workspace and equipment costs
- Cost to manage
- Compensation: salary + benefits

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Calculating the profit part is the most complex.

- Calculating a customer service specialist's or software engineer's precise dollar value doesn't look like a realistic task.

In this case, I'd suggest putting more attention on something that is easier to measure but still important to performance:

Employee-created customer value
Consider customer service. How is customer value measured? Simple metrics include:

- Response time (customers prefer quick responses);
- Recurring issues (customers appreciate solutions that work).

We can also quantify intangibles.

- Client satisfaction
- Credibility
- Incredible experience

HR SHARED SERVICE
HR shared services are one-way companies that optimize talent management costs. This model seems logical for scale savings. Simultaneously, questions about service quality and internal customer satisfaction gain relevance.

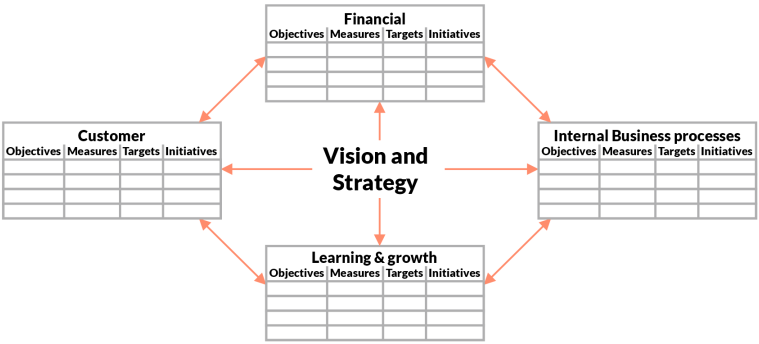
HRSSC KPIs
The organizations focus on scale economies, and quality KPIs are highly recommended.

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BALANCED SCORECARD TEMPLATE

Use this pre-made balanced scorecard to get started on the path toward making your organization's goals and vision a reality.

BALANCED SCORECARD BY ROBERT KAPLAN & DAVID NORTON



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CRITICISMS OF THE BALANCED SCORECARD

IT MUST BE TAILORED TO THE ORGANIZATION

Although a balanced scorecard can be used as a general guide, it must still be customized to meet the requirements of each individual company before it can be put into practice. This can take a lot of time, and while examples can be helpful, it is impossible to follow them word for word because different types of businesses have different rules.

IT NEEDS BUY-IN FROM LEADERSHIP TO BE SUCCESSFUL

For the balanced scorecard system to work, it needs to be supported by all levels of management. Getting buy-in from upper management can be difficult, and there will be a learning curve to getting everyone on board with the new system.

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IT CAN GET COMPLICATED

There is a time commitment involved in learning the balanced scorecard system. There is a lot of literature and case studies on this topic, so it's easy to get lost in them.

IT REQUIRES A LOT OF DATA

Most of the time, managers and team members have to give information for balanced scorecards, which means that information has to be written down. The vast majority of people do not like this because it is annoying and prevents them from getting the real work done that is necessary to accomplish their goals.

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CONCLUSION

Most balanced scorecards need managers and team members to fill in the information, usually done by logging data. However, because it's distracting and prevents individuals from getting the real work done that's required to reach their goals, few people actually appreciate it. But when it comes to boosting a company's bottom line, there is no shortage of tools to assist executives in pinpointing and fixing inefficient internal procedures. Businesses can use balanced scorecards to measure and analyze performance in four areas: training and development, operations, customers, and cash flow.

Companies can save time, money, and resources by consolidating data into a single report that can be used for employee development, stakeholder engagement, and market competitiveness.

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